iii. A *pyramid holding company* that owns controlling interest in its subsidiaries with less invested capital than the two other categories.

Nidhi

Nidhi in the Indian context ‘treasure’. However, in the Indian financial sector it refers to any *mutual benefit society*[56] notified by the Central / Union Government as a Nidhi Company. They are created mainly for cultivating the habit of *thrift* and *savings* amongst its members. The companies doing Nidhi business, viz. borrowing from members and lending to members only, are known under different names such as *Nidhi, Permanent Fund, Benefit Funds*, *Mutual Benefit Funds* and *Mutual Benefit Company.*

Nidhis are more popular in ***South India*** and are highly localized single office institutions. They are mutual benefit societies, because their dealings are restricted only to the members; and membership is limited to individuals. The principal source of funds is the contribution from the members. The loans are given to the members at relatively reasonable rates for purposes such as house construction or repairs and are generally secured. The deposits mobilized by Nidhis are not much when compared to the organized banking sector.

Nidhis are companies registered under the Companies Act, 1956 and are regulated by Ministry of Corporate Affairs (MCA). Even though Nidhis are regulated by the provisions of the Companies Act, 1956, they are exempted from certain provisions of the Act, as applicable to other companies, due to limiting their operations within members.

Nidhis are also included in the definition of Non- Banking Financial companies or ***(NBFCs)*** which operate mainly in the *unorganized money market*. However, since 1997, NBFCs have been brought increasingly under the regulatory ambit of the RBI. Non-banking financial entities partially or wholly regulated by the RBI include:

i. NBFCs comprising equipment leasing (EL), hire purchase finance (HP), loan (LC), investment (IC) [including primary dealers (PDs] and residuary non-banking (RNBC) companies;
ii. Mutual benefit financial company (MBFC), i.e. *nidhi company*;